

BEFORE

Throughout history, different economic systems governed the production and distribution of goods and services in society.

FEUDALISM

Feudalism was the system of land ownership that predominated in Western Europe during the Medieval period << 188–91. Land was held by a **vassal** on behalf of a lord or a king, in return for loyalty and military service. **Serfs**, mostly unfree peasants, labored for the vassals in a state of virtual slavery in return for the right to farm some of the land for themselves.

MERCANTILISM

During the 17th and 18th centuries a trading system called mercantilism, operated in Europe, particularly England, France, and the

Netherlands. It aimed to amass national wealth, especially in the form of gold bullion.



GOLD BULLION

CAPITALISM

Modern capitalism has existed in a recognizable form since the 16th century << 276–77. Under this system the **means of production are privately owned** and goods are produced for a profit. Capitalism promotes a free market that is regulated by supply and demand.

HUMANISM

Humanism, a belief in the dignity and value of people, emerged during the Renaissance << 250–53 in Europe. Humanist values run counter to the harsh treatment of working people during the Industrial Revolution << 292–93, and they made an important contribution to the development of socialist thinking.



Consequences of industrialization

The drive by 19th-century industrialists to maximize profits resulted in dirty and dangerous conditions for most working people—both in factories like these Pittsburgh steel mills and in overcrowded, inadequate housing. Disease was rife, and made worse by air and water pollution. These appalling conditions were the subject of numerous campaigns by social reformers.

“From each according to his ability,
to each according to his need.”

KARL MARX, FROM “CRITIQUE OF THE GOTHA PROGRAM,” 1875

Workers Unite!

While factory owners enjoyed huge profits during the Industrial Revolution, the new working class was impoverished. This inequality gave rise to political ideas that aimed to organize and inspire the workers, so that they could share the wealth they had created.

The hope of making the world a fairer place had existed for centuries. However, it was largely in response to the Industrial Revolution (see pp.292–95) that this idea developed into a political philosophy called socialism. Socialism seeks to share wealth by putting it in the hands of its creators—the working class. However, a central issue of socialist debate was whether this could be achieved gradually or through a revolution in which the working class seized power.

Socialism in practice

Early 19th-century socialists included Robert Owen, a Welsh industrialist, who came to believe, along with other “Utopian Socialists,” in the construction of societies in which property was owned collectively. After establishing an experimental model community around his cotton mill at New Lanark in Scotland (see below), he continued to attempt to found cooperative communities, most significantly in New Harmony, Idaho, though this was not a success. One of the more radical beliefs for the age held by Utopian socialists was that men and women should have equal rights.

In France, Henri Saint-Simon, often called the “father of French socialism,” looked for a society in which there would be equal opportunities for all, while his followers proposed an end to private property. Among the many other radical ideas to emerge in the early 19th century, particularly in continental Europe, was anarchism, which held that the state itself could be replaced by a system of voluntary cooperation between workers.

From the 1840s, the German-born philosopher and economist Karl Marx (see pp.334–35) brought together several strands of revolutionary thought to produce a coherent political theory, which he named “scientific socialism.” Marx viewed history as a series of class struggles that would

ultimately lead to the end of capitalism and the arrival of an ideal, classless society without private property, and free from exploitation and want—a theory he called communism. He published his beliefs in the *Communist Manifesto* (1848), which he wrote with Friedrich Engels. Marx believed that such change could only be reached through a process of violent revolution.

The rise of Marxism

It is highly unlikely that many working class people read the work of Marx or other socialist figures, but their discontent was evident. In 1848 Europe was shaken by a series of revolutions, which erupted as a result of various factors, including high unemployment. Although all the revolutions were quashed, labor movements emerged strong. Many of these were greatly influenced by the theories of Marx.

Marx played a more direct role in one of these movements in 1864, when a group of workers and intellectuals formed the International Working Men’s Association, or First International. Marx dominated the movement with his revolutionary theories. However, an alternative version of socialism, known as “social democracy,” was beginning to gain momentum in Germany and spreading to other European nations. Inspired by the work of the German philosopher Ferdinand Lasalle, social democrats asserted that it was possible



French newspaper report

Karl Marx featured on the front page of the newspaper *L'illustration* in November 1871. Nine months earlier Parisian workers had set up the Commune, a short-lived government that was hailed as the first example of “the dictatorship of the proletariat”—or communism.

for a fair government to free workers from want and exploitation. This form of socialism is still prevalent in European politics today.

For Marx, such a compromise was unacceptable. In his eyes, capitalism and the growth of socialism were steps toward revolution and communism. The revolution Marx sought eventually took place in Russia, though he had envisaged it happening in more industrialized societies, like Britain. In 1917, under the leadership of Vladimir Ilyich Lenin, Russian socialists overthrew the prevailing government and created the Union of Soviet Socialist Republics (see pp.376–77).

New Lanark

In 1800 Robert Owen set up a model community at this mill in Scotland. New Lanark provided decent conditions for the workers and education for their children and still succeeded in making a profit.

